Foundation Grants and Corporate Giving

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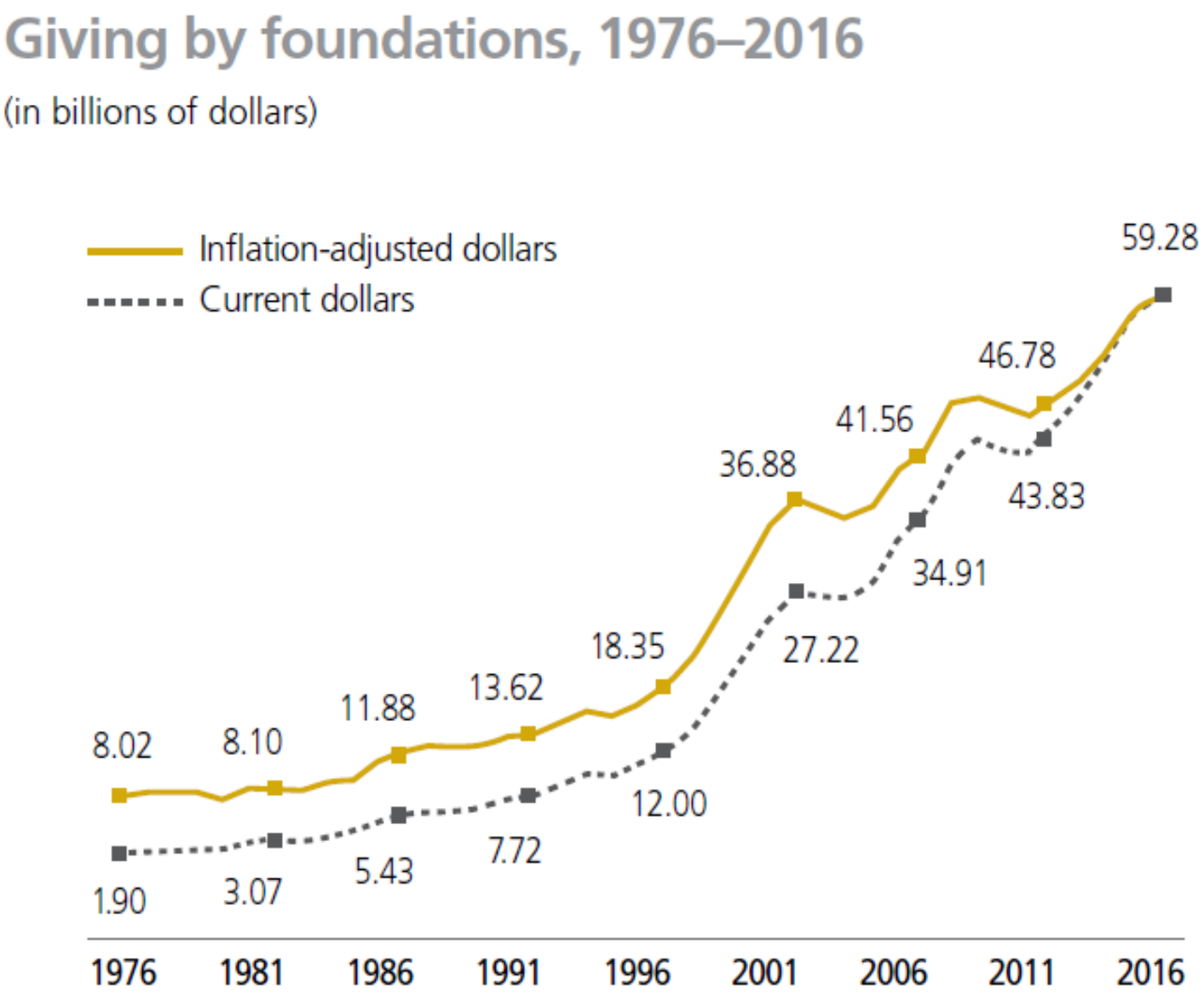
Total Giving by Foundations

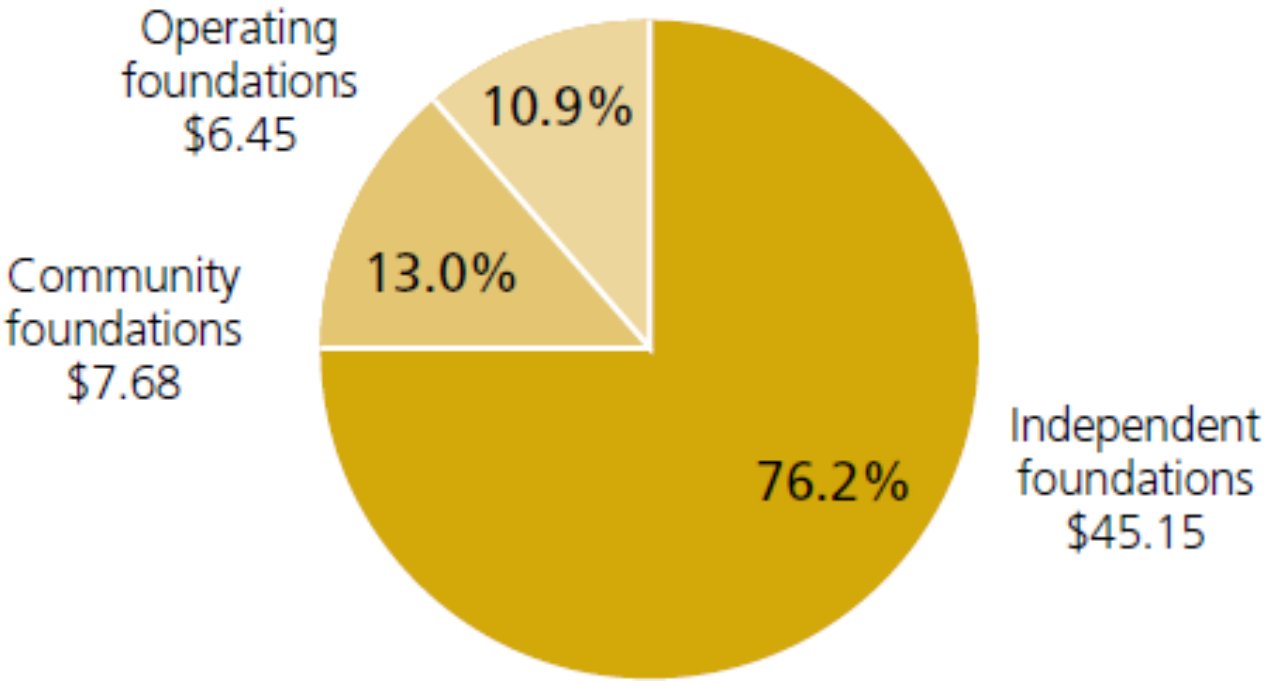


Foundation Type Breakdown

Foundation Type	Primary Activity	Financial Base	Use of Funds	IRS Distribution Requirement
Independent Foundation	Grantmaking	Endowed	Grants to NPOs	5% of endowment
Family Foundation	Grantmaking and Value Preservation	Endowed	Grants to NPOs	5% of endowment
Corporate Foundation	Grantmaking and community relations	Possibly Endowed	Grants to NPOs	5% of investment assets
Operating Foundation	Program Administration	Endowed / Contributions	Internal programs	85% of income
Community Foundation	Grantmaking and Fundraising	Build endowment & DAFs	Grants to NPOS	Exempt

Giving by Foundation Type

Share of foundation grantmaking by foundation type (independent, community, and operating) in 2016
(in billions of dollars, totaling $59.28 billion)



Foundation Grant (General) Types

- Operations / Unrestricted grants – Support ongoing activities and general nonprofit operations
- Program grants – Support a specific project or purpose
- Capital grants – support building construction, purchase of equipment or endowment support
- Pilot grants – support new programs or initiatives as trial efforts
- Challenge / Matching grants – Used to support capital projects and made under specific conditions: a determined time frame, the raising of a specific amount of funds from other sources, and a grant disbursement once other funds are "matched"

Factors Influencing Foundation Giving

- Most foundations are created to exist in perpetuity, rather than on a finite horizon
- Foundations are beginning to operate in three distinct ways when it comes to grantmaking:
  1. "Agenda setters" – foundations looking to be catalysts or change agents with direct action, clear outcomes and information sharing
  2. "Supporters" – foundations carrying out indirect actions, turning to nonprofit leaders to lead, and working on capacity-building for the sector
  3. "Community builders" – foundations who are open to different purposes of funding dependent upon community need. They invest in community relations and spend time meeting with all stakeholders

Elements of Approaching Grantmaking Foundations

- Most foundations are independent, private foundations with interest areas related to founder's life experience, concerns, or family legacy
- Foundations usually require a formal application w/ an established grant cycle
- Steps of the foundation grant cycle for nonprofits:
  1. Research
  2. Mission Congruent
  3. Relationships
  4. Proposal Development
  5. Follow-up
  6. Evaluation

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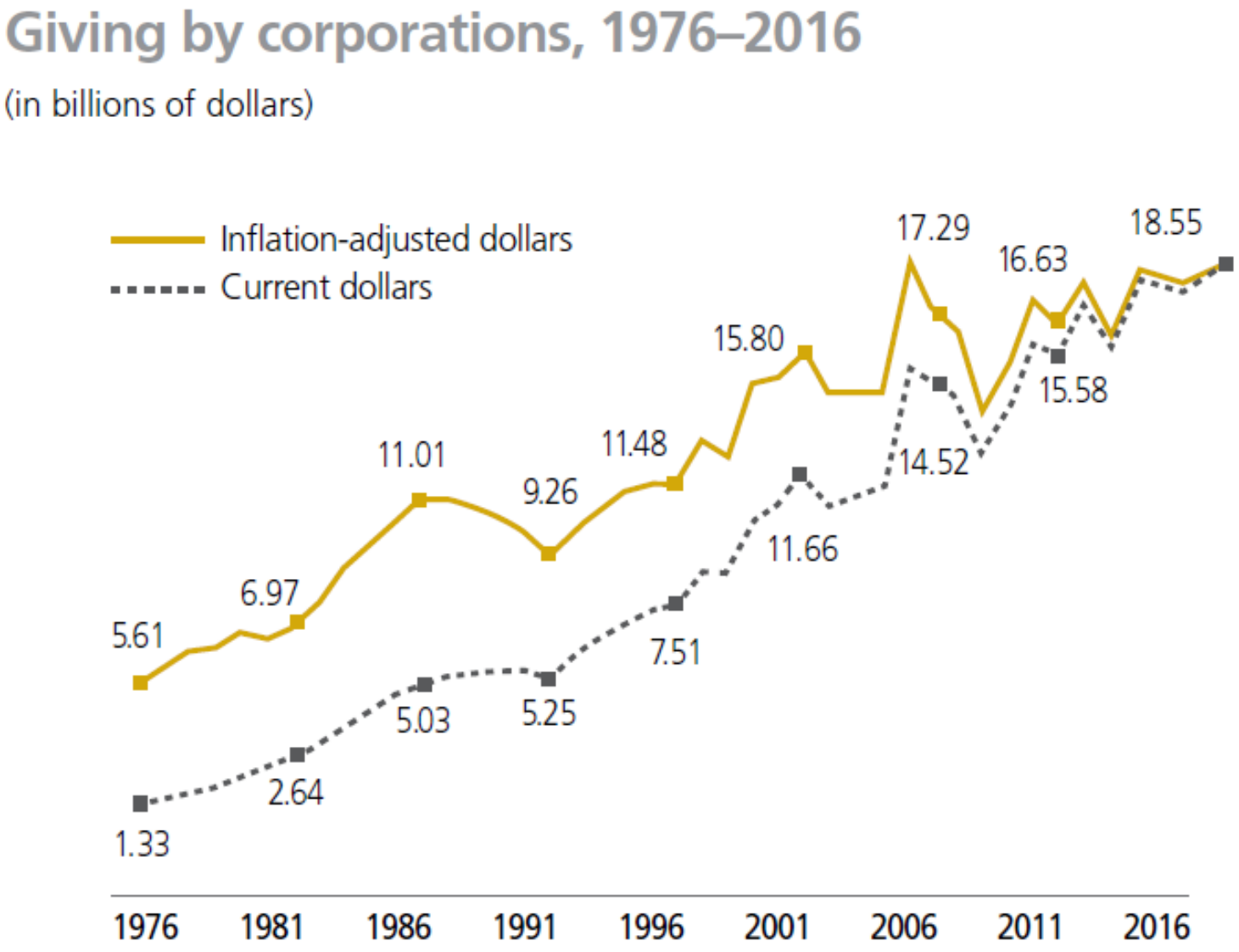
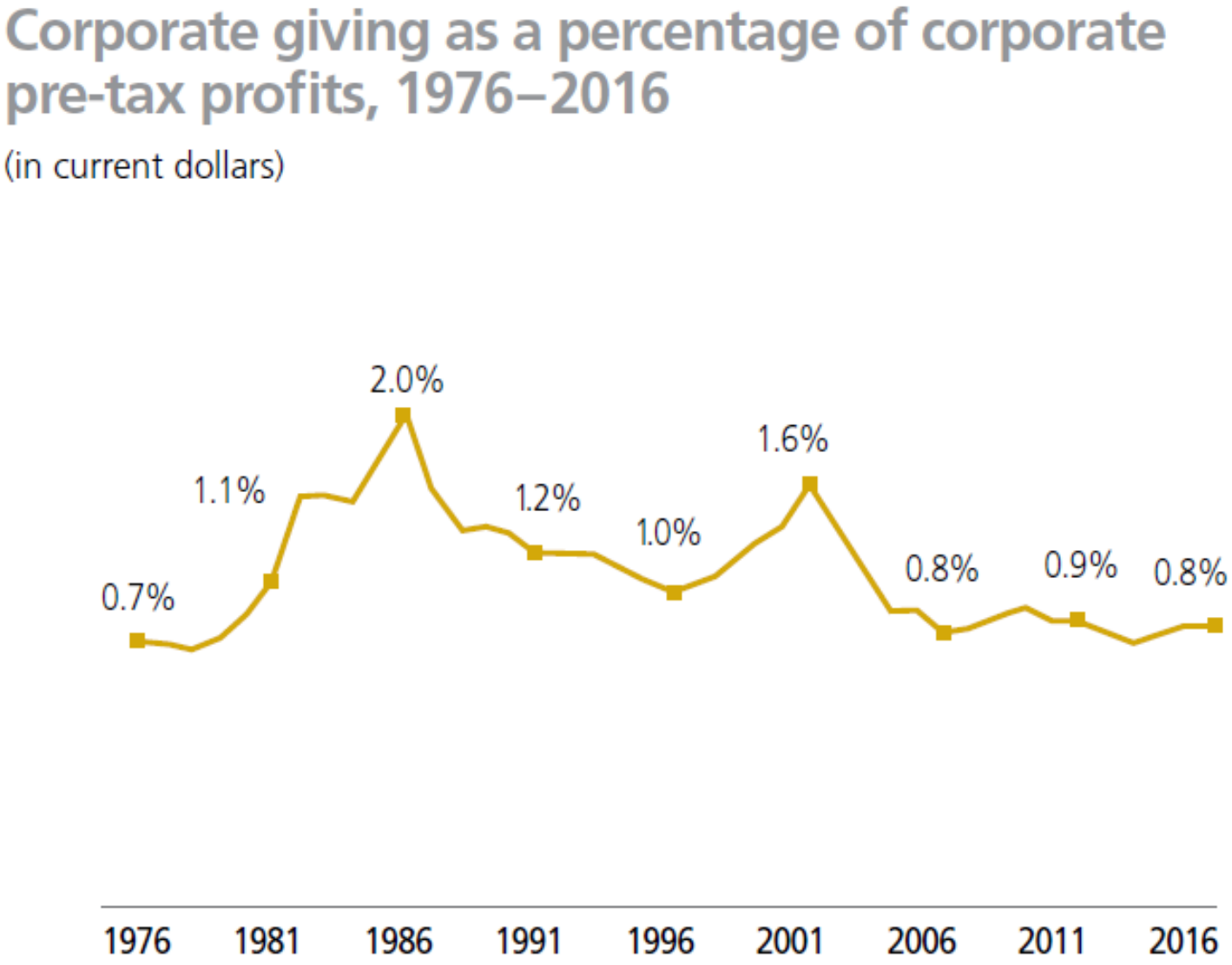


Types of Corporate Giving

- 78% of all corporate giving stems from cash contributions
- The remaining 22% are made up by in-kind donations including:
  - Company products
  - Employee time
- Workplace charity campaigns with employer matches are common giving drives
- Cause marketing initiatives and sponsorships are not tax-deductible or counted in these statistics, but are also a common practice in corporate giving

Pretax Corporate Profit Giving



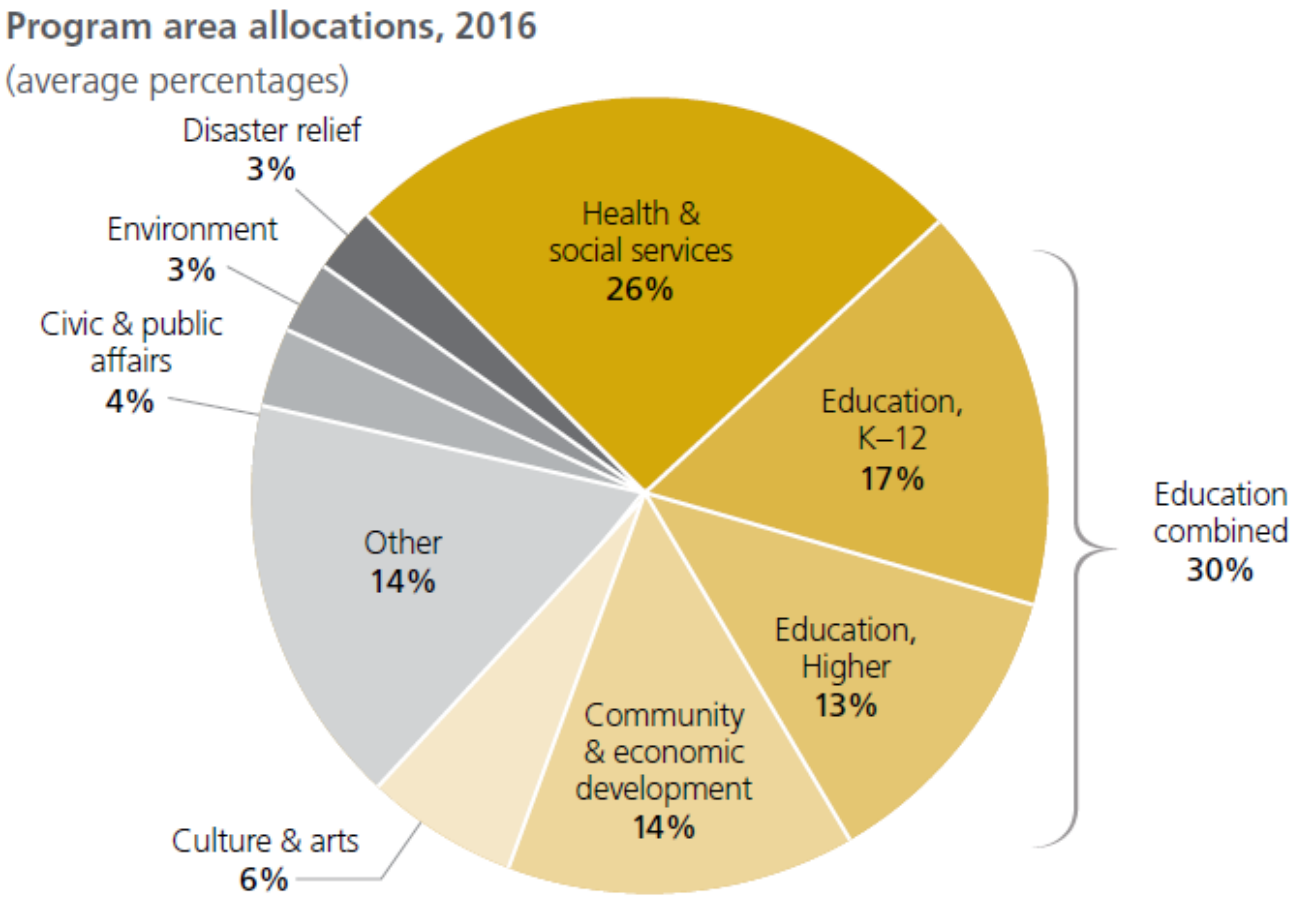
Models of Company Giving

- Corporate Productivity Model – Giving strategy set around increasing profitability and return for shareholders
  - Projects lowering corporate costs, such as research grants
  - Projects helping market company products
  - Projects enhancing employee morale to increase productivity
  - Projects improving the company's public image
- Ethical/Altruistic Model – Giving strategy set around the premise that businesses and their leaders have a responsibility to be good corporate citizens
  - Projects that address a known community need
  - Projects appealing to corporate leadership personally or as citizens of the community
  - Projects engaging employees in community efforts to address local issues

Models of Company Giving Continued

- Political Model
  - External – corporations use giving to build relationships protecting their power and influencing limits on companies
  - Internal – corporate giving staff members are agent within the corporate "game" requiring the staff to build internal allies and prove the benefit of giving within the company
- Stakeholder Model – Giving strategy build around the idea that the corporation is a complex entity that must respond to the needs and pressures of many key stakeholders
  - Projects including employee benefits or volunteerism
  - Projects including community education or environmental efforts
  - Projects helping consumers of the company products or services

Corporate Giving Allocation



Approaching Corporations for Fundraising

- Nonprofits approaching corporate donors will engage in a similar process as developing individual donors, including:
  1. Establishing the case for support
  2. Evaluating, contacting, and building relationships with prospective business sector donors
  3. Selecting the fundraising vehicles and amount
  4. Finalizing the plan
  5. Soliciting donations
  6. Stewarding the contributions